

heard Eric's definition of a startup. It has three parts, and we here at Intuit match all three parts of that definition."

Scott and Brad are leaders who realize that something new is needed in management thinking. Intuit is proof that this kind of thinking can work in established companies. Brad explained to me how they hold themselves accountable for their new innovation efforts by measuring two things: the number of customers using products that didn't exist three years ago and the percentage of revenue coming from offerings that did not exist three years ago.

Under the old model, it took an average of 5.5 years for a successful new product to start generating \$50 million in revenue. Brad explained to me, "We've generated \$50 million in offerings that did not exist twelve months ago in the last year. Now it's not one particular offering. It's a combination of a whole bunch of innovation happening, but that's the kind of stuff that's creating some energy for us, that we think we can truly short-circuit the ramp by killing things that don't make sense fast and doubling down on the ones that do." For a company as large as Intuit, these are modest results and early days. They have decades of legacy systems and legacy thinking to overcome. However, their leadership in adopting entrepreneurial management is starting to pay off.

Leadership requires creating conditions that enable employees to do the kinds of experimentation that entrepreneurship requires. For example, changes in TurboTax enabled the Intuit team to develop five hundred experiments per tax season. Before that, marketers with great ideas couldn't have done those tests even if they'd wanted to, because they didn't have a system in place through which to change the website rapidly. Intuit invested in systems that increased the speed at which tests could be built, deployed, and analyzed.

As Cook says, "Developing these experimentation systems is the responsibility of senior management; they have to be put in by the leadership. It's moving leaders from playing Caesar with their thumbs up and down on every idea to—instead—putting in the culture and the systems so that teams can move and innovate at the speed of the experimentation system."